

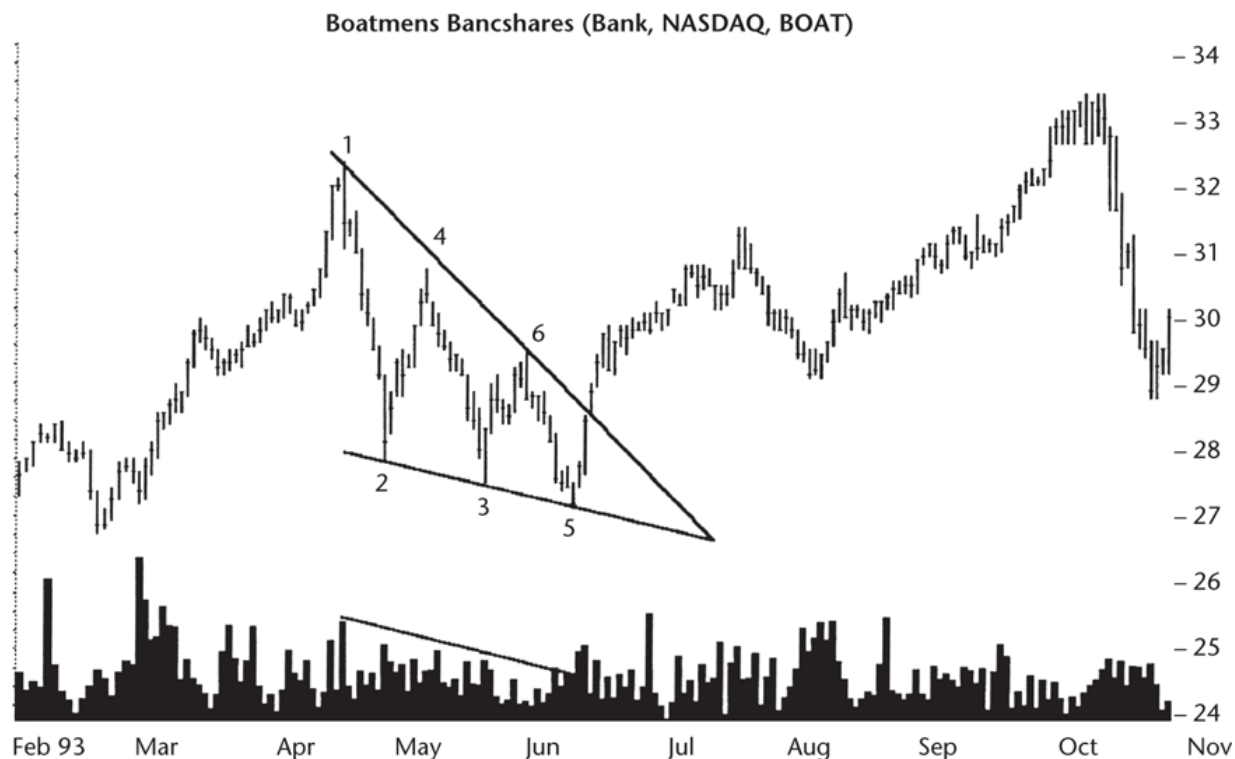


Figure 73.2 A falling wedge with six trendline touches. Several alternating touches of the trendlines are needed to form a reliable falling wedge.

Multiple touches. I usually regard five touches as the minimum necessary to safeguard a good chart pattern. The reason for the multiple touches is that the price pattern creates several minor highs and minor lows, each succeeding one narrower than the last. Having a five-touch minimum prevents a price pattern that resembles a rise and gradual decline from being labeled as a wedge.

There needs to be several opposing touches of the trendline as price progresses through the wedge. For example, the figure shows six touches of the trendlines, each of which occurs on the opposite side of the previous touch (but need not alternate).

Look for at least three touches of one trendline and two on the other, all of them as minor highs or minor lows. Cutting through price doesn't count as a touch. The stock should cross the wedge from top to bottom, filling the whitespace with price movement.

Down-sloping trendlines outlining the minor highs and lows are another key to correct identification of a falling wedge. Avoid a horizontal or near-